

Token Approval

Learn how to review token allocations and approve token transfers for funding notices

Overview

Token approval is the step where borrowers approve the transfer of tokens, making funding notices visible to lenders. This guide covers how to review token allocations, verify distribution accuracy, and approve token transfers to enable the drawdown process and allow lenders to review and approve funding.

Who Can Use This

- Borrowers who have funding notices with generated tokens

When This Is Used

Use token approval when:

- Tokens have been generated for your funding notice by the facility agent
- You want to proceed with the drawdown process
- You need to make the funding notice visible to lenders
- You're ready to enable lender review and approval
- You want to verify token allocation before proceeding

Step-by-Step Process

Reviewing Token Allocation

1. Access Funding Notice

- Navigate to Funding Notices section
- Find funding notice with tokens generated

- Status shows tokens are generated (e.g., "TOKEN_GENERATED")
- Open funding notice details

2. Review Token Details

- **Total Token Amount:** Check total matches your funding request amount
- **Funding Date:** Verify funding date is correct
- **Purpose:** Review purpose of funds
- **Facility Information:** Confirm facility details are accurate
- Verify all information matches your funding request

3. Review Lender Distribution

- View how tokens are distributed to lenders
- **Individual Lender Allocations:** See each lender's portion
- **Distribution Percentages:** Check percentages match facility participation
- **Lender Names:** Verify all lenders are included
- **Allocation Amounts:** Confirm each lender's amount is correct
- Review total distribution equals request amount

4. Verify Allocation Accuracy

- Confirm total allocation equals request amount
- Check that lender percentages are correct
- Verify no errors in distribution
- Ensure all lenders are included
- Review individual allocations for accuracy

5. Review Complete Information

- Ensure request amount is correct
- Check funding date is appropriate
- Verify purpose is accurate
- Confirm facility details are correct
- Review all information one final time

Approving Token Transfer

1. Final Review Before Approval

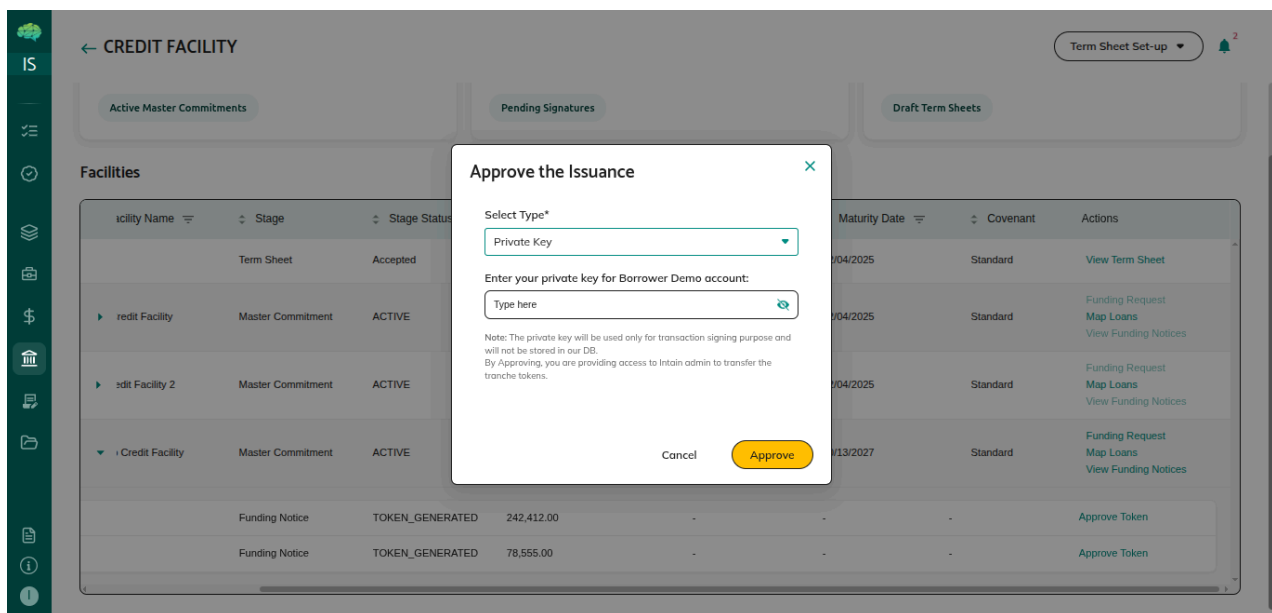
- Review all token allocation details carefully
- Verify token amounts match your expectations
- Check lender distribution is accurate
- Confirm all information is correct
- Ensure you're ready to proceed

2. Understand Approval Impact

- Approval makes funding notice visible to lenders
- Lenders can review and make decisions
- Process moves forward to lender review
- You cannot easily undo approval
- Ensure everything is correct before approving

3. Initiate Approval

- Click "Approve Token Transfer" button or similar
- Review any confirmation messages
- Understand what happens after approval
- Confirm you want to proceed



Issuer - Token Approval

4. Complete Approval

- Confirm your approval action
- Approval is processed
- Status updates to show token approval (e.g., "TOKEN_APPROVED")
- Funding notice becomes visible to lenders
- Lenders receive notifications

5. **Verify Approval Completion**

- Confirm status shows approval is complete
- Verify funding notice is now visible to lenders
- Check that lenders receive notifications
- Ensure process can proceed
- Status reflects approval

After Approval

1. **Lender Visibility**

- Funding notice is now visible to all lenders
- Lenders receive notifications about the notice
- Lenders can review drawdown details
- Lenders can make approval decisions

2. **Track Lender Decisions**

- Monitor which lenders have reviewed the notice
- See which lenders have approved or rejected
- Track individual lender participation
- Monitor fund transfer confirmations
- View lender decision status

3. **Proceed with Drawdown**

- Approved lenders can proceed with fund transfer
- Each lender confirms their transfer independently
- Funds are transferred to you as lenders confirm
- Drawdown process completes as transfers are confirmed

- You receive funds from confirming lenders

Rules & Validations

- You can only approve tokens after they've been generated - tokens must be created by facility agent before you can approve.
- You must review allocation before approving - take time to verify token amounts and distribution are correct.
- Approval makes funding notice visible to lenders - once approved, lenders can see and review the notice.
- Once approved, you cannot easily undo the approval - approval is a significant step, so verify everything before approving.
- Lenders can then review and approve drawdowns - after your approval, lenders make their own decisions.
- Token amounts must match funding request - the total token amount should equal your approved funding request amount.
- Lender distribution is based on facility participation - allocations are calculated from lender participation percentages.
- Approval is required for process to continue - the drawdown process cannot proceed until you approve token transfer.
- Status updates after approval - funding notice status changes to reflect your approval.
- Complete audit trail - your approval is recorded with timestamp and details.

What Happens Next

After approving token transfer:

- Funding notice becomes visible to all lenders
- Lenders receive notifications about the notice
- Lenders can review drawdown details and make decisions
- Approved lenders can proceed with fund transfer
- You can track lender decisions and transfer confirmations

- Funds are transferred to you as lenders confirm transfers
- Drawdown process completes as all transfers are confirmed

After lenders approve:

- Approved lenders transfer their allocated portions
- Each lender confirms transfer independently
- You receive funds from confirming lenders
- Drawdown process completes as transfers are confirmed
- Complete documentation is maintained

Understanding token approval helps you complete the drawdown process, enable lenders to participate in your funding requests, verify token allocation accuracy, and ensure proper verification before funds are disbursed.